

Domain II — Ethics and Professionalism

Principle 4 — Exercise Due Professional Care

Content note: Requirements, implementation considerations, and evidence examples are paraphrased from the supplied pages. Other sections contain suggested practical applications for the platform. Risk ratings are illustrative and should be assessed using the organization's approved methodology.

4.1 — Conformance with the Global Internal Audit Standards

Standards & Guidance

Requirements

Internal auditors must:

- Plan and perform internal audit services in accordance with the Global Internal Audit Standards.
- Follow the Standards and the internal audit function's methodologies when planning engagements, performing work, and communicating results.
- Use methodologies that are established, documented, maintained, and aligned with the Standards.
- Cite other authoritative requirements appropriately in audit communications when those requirements are used alongside the Standards.
- Continue conforming with all other parts of the Standards when laws or regulations prohibit conformance with a particular part, and make appropriate disclosures.

When a requirement cannot be met, the chief audit executive must document and communicate:

- The circumstances preventing conformance.
- The alternative actions taken.
- The impact of those actions.
- The rationale for the approach.

Considerations for Implementation

- Review changes to the Standards and update internal audit methodologies accordingly.
- Assess differences between the Standards and other applicable authoritative requirements; more stringent requirements may be required or selected.
- Review engagement work programs and execution for alignment with the Standards.
- Where exceptional circumstances prevent meeting a requirement, evaluate alternative actions that may achieve the related principle.
- Document the circumstances, alternatives, impact, and rationale to support quality assessments.

- Discuss engagement-level nonconformance with the chief audit executive or designated supervisor, including its effect and appropriate communication.
- Consider applicable laws, regulations, and internal policies when determining how and when to disclose nonconformance.

Examples of Evidence of Conformance

- Documented methodologies with their latest update dates.
- Final engagement communications and communications to the board or senior management disclosing nonconformance, where applicable.
- Documentation identifying legal or regulatory provisions that prevented conformance.
- Records of other authoritative requirements applied alongside the Standards.
- Results of the quality assurance and improvement program.

Audit Focus Areas

- Alignment of audit methodologies with the Standards.
- Consistent application throughout the engagement lifecycle.
- Methodology updates and version control.
- Identification and disclosure of nonconformance.
- Documentation of alternative actions and their effects.
- Appropriate reference to other authoritative requirements.
- Quality assessment and corrective action.

Risks

Risk	Indicative rating
Outdated methodologies result in audit work that does not conform with the Standards.	High
Engagement teams apply requirements inconsistently.	High
Nonconformance is not identified or appropriately disclosed.	High
Alternative actions are adopted without assessing their effect on engagement quality.	High
Communications omit other authoritative requirements used in the engagement.	Medium

Controls

Suggested control	Type
Documented mapping of applicable requirements to audit methodologies and procedures.	Preventive
Defined responsibility for monitoring changes and updating methodologies.	Preventive

Suggested control	Type
Version-controlled methodology documents with communicated effective dates.	Preventive
Supervisory review of engagement plans, workpapers, and reports for conformance.	Preventive / Detective
Nonconformance register recording circumstances, alternative actions, impact, rationale, and disclosures.	Detective / Corrective
Quality assessments with tracked improvement actions.	Detective / Corrective

Audit Procedures

Procedure	Required evidence
Compare audit methodologies with applicable Standards requirements and identify gaps.	Methodology manual, requirements mapping, gap assessments
Examine how changes to the Standards are assessed, incorporated, and communicated.	Update logs, revised procedures, staff communications
Sample engagements and assess whether planning, execution, and reporting follow the methodologies.	Engagement plans, workpapers, final reports
Review identified nonconformance cases for documented circumstances, alternative actions, impact, and rationale.	Nonconformance register, supporting assessments
Verify that nonconformance was communicated to appropriate parties.	Final reports, board or management communications
For claimed legal restrictions, inspect the documented basis and continued conformance with unaffected requirements.	Relevant legal provisions, assessments, disclosures
Review quality assessment findings and the implementation of improvement actions.	Assessment reports, action plans, closure evidence

Red Flags

- Audit manuals lack update dates or contain conflicting versions.
- Engagement teams use outdated templates.
- Deviations from required procedures have no explanation.
- Legal restrictions are cited without identifying the relevant provision.
- Known nonconformance is omitted from appropriate communications.
- Quality assessments repeatedly identify unresolved gaps.

Common Findings — Illustrative Examples

- Internal audit methodologies were not aligned with applicable requirements.
- Methodology changes were not communicated to audit staff.

- Engagement files lacked evidence that required procedures were followed.
- Nonconformance was not adequately documented or disclosed.
- Alternative actions lacked a documented rationale or impact assessment.
- Quality improvement actions remained unresolved.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 4, Standard 4.1 — Conformance with the Global Internal Audit Standards.

Related standards identified in the supplied pages:

- Standard 8.3 — Quality.
- Standard 12.1 — Internal Quality Assessment.
- Standard 15.1 — Final Engagement Communication.

4.2 — Due Professional Care

Standards & Guidance

Requirements

Internal auditors must exercise due professional care by assessing the nature, circumstances, and requirements of the services being provided, including:

- The organization's strategy and objectives.
- The interests of those receiving internal audit services and other stakeholders.
- The adequacy and effectiveness of governance, risk management, and control processes.
- The cost of audit services relative to their potential benefits.
- The extent and timing of work necessary to achieve engagement objectives.
- The complexity, materiality, or significance of risks affecting the activity under review.
- The likelihood of significant errors, fraud, noncompliance, and other risks affecting objectives, operations, or resources.
- The use of appropriate techniques, tools, and technology.

Considerations for Implementation

- Understand the internal audit charter, audit plan, and reasons for selecting engagements.
- Consider the interests of customers, the public, and other affected stakeholders, including expectations, safety needs, and exposure to risk.
- Assess risks in the context of both the organization and the specific activity or engagement.
- Recognize that a matter may be significant to an individual activity even if it is not material to the organization as a whole.

- Allocate effort according to risk, complexity, significance, and expected benefit.
- Consider control design before deciding how extensively to test operating effectiveness.
- Select suitable techniques and technology, including data analysis tools, to support efficient and effective audit work.
- Use supervision and the quality assurance and improvement program to promote due professional care.

Examples of Evidence of Conformance

- Planning records documenting organizational and activity-level strategy and objectives.
- Assessments of governance, risk management, and controls.
- Risk assessments addressing errors, fraud, and noncompliance.
- Records of discussions about costs, benefits, work extent, and timing.
- Workpapers showing supervisory review.
- Auditor performance evaluations.
- Training and discussion records addressing due professional care.
- Stakeholder feedback.
- Internal and external quality assessment results.

Audit Focus Areas

- Alignment of engagement objectives with organizational priorities.
- Consideration of stakeholder interests.
- Risk-based scope and testing decisions.
- Assessment of fraud, error, and noncompliance risks.
- Consideration of materiality and complexity in context.
- Appropriate allocation of time and resources.
- Selection of tools and technology.
- Supervisory review and quality improvement.

Risks

Risk	Indicative rating
Significant risks are omitted from the engagement scope.	High
Testing is insufficient for the complexity or significance of the activity.	High
Fraud, error, or noncompliance risks are not adequately considered.	High
Stakeholder interests or potential harm are overlooked.	High
Excessive work on low-risk areas diverts resources from significant issues.	Medium
Poor timing or unsuitable techniques reduce the usefulness of audit results.	Medium

Controls

Suggested control	Type
Engagement planning requirements covering objectives, stakeholders, governance, risks, and controls.	Preventive
Documented rationale linking significant risks to scope and testing procedures.	Preventive
Explicit consideration of fraud, error, and noncompliance during risk assessment.	Preventive
Review of planned effort, timing, resource needs, and expected benefits.	Preventive
Assessment of control design before determining operating-effectiveness testing.	Preventive
Documented consideration of suitable audit tools and data analysis techniques.	Preventive
Supervisory review and adjustment of work when new risks emerge.	Detective / Corrective

Audit Procedures

Procedure	Required evidence
Review whether engagement planning identifies relevant organizational and activity-level objectives.	Strategy documents, planning memoranda, engagement objectives
Assess whether relevant stakeholder interests and potential impacts were considered.	Stakeholder assessments, meeting records, planning notes
Trace significant risks to the engagement scope and work program.	Risk assessments, scope documents, audit programs
Examine the assessment of fraud, error, and noncompliance risks.	Risk discussions, relevant analyses, planned responses
Evaluate whether testing extent and timing are appropriate to risk and complexity.	Testing plans, sample rationale, schedules
Review the basis for decisions about control design and operating-effectiveness testing.	Process walkthroughs, design assessments, testing records
Assess whether resource and technology choices support engagement objectives efficiently.	Resource plans, budgets, tool assessments, analysis outputs
Confirm that supervision addressed new information and necessary changes to the work.	Review notes, revised programs, approvals

Red Flags

- Audit programs are copied from previous engagements without reassessing risks.
- High-risk areas receive minimal testing without justification.
- Fraud risk is dismissed without assessment.
- Materiality is assessed only at organization level, ignoring the activity under review.
- Extensive testing continues despite an identified control design failure, without a clear purpose.
- Time limits drive unsupported reductions in scope or testing.
- New risk information does not lead to reconsideration of planned work.

Common Findings — Illustrative Examples

- Engagement planning did not adequately consider strategy, objectives, or stakeholder interests.
- Significant risks were not reflected in the work program.
- Fraud and noncompliance risks were insufficiently assessed.
- Testing extent lacked a documented risk-based rationale.
- Resource allocation did not reflect engagement complexity.
- Appropriate tools and techniques were not adequately considered.
- Supervisory review did not address changes in risk or scope.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 4, Standard 4.2 — Due Professional Care.

Related references identified in the supplied pages:

- Standard 8.3 — Quality.
 - Standard 8.4 — External Quality Assessment.
 - Principle 12 — Enhance Quality and its associated standards.
 - Domain V — Performing Internal Audit Services.
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4.3 — Professional Skepticism

Standards & Guidance

Requirements

Internal auditors must exercise professional skepticism when planning and performing internal audit services. They must:

- Maintain an inquisitive attitude.
- Critically assess the reliability of information.
- Raise concerns and question inconsistent information directly and honestly.
- Obtain additional evidence when information or statements may be incomplete, inconsistent, false, or misleading.

Considerations for Implementation

- Base judgments on facts, evidence, and logical analysis.
- Obtain evidence to support and validate management statements.
- Explore beyond initial explanations when circumstances warrant further examination.
- Assess whether information is relevant, reliable, and sufficient to support engagement results.
- Perform additional analysis where information appears incomplete, inconsistent, false, or misleading.
- Use supervisory review and approval of workpapers and engagement communications to strengthen validation.
- Provide training and practical workshops on questioning information, recognizing inconsistencies, avoiding bias, and maintaining an open mindset.

Examples of Evidence of Conformance

- Planned and completed training records, including participants.
- Workpapers documenting how information was evaluated and validated.
- Documentation showing that false or misleading information was addressed as an engagement finding.
- Workpapers and engagement communications reviewed and signed or initialed by the engagement supervisor.

Audit Focus Areas

- Reliability, relevance, and sufficiency of evidence.
- Validation of management explanations.
- Identification and resolution of contradictory information.
- Follow-up on incomplete or potentially misleading records.
- Documentation of professional judgments.
- Supervisory challenge and review.

- Practical training in professional skepticism.

Risks

Risk	Indicative rating
Unsupported management statements are accepted as sufficient evidence.	High
False or misleading information leads to inaccurate conclusions.	High
Contradictions remain unresolved when the report is issued.	High
Incomplete information conceals significant errors or control weaknesses.	High
Familiarity or confirmation bias limits further inquiry.	High

Controls

Suggested control	Type
Evidence-evaluation procedures addressing source reliability, relevance, and sufficiency.	Preventive
Corroboration of significant management explanations with appropriate supporting evidence.	Preventive / Detective
Exception tracking for contradictory, incomplete, or potentially misleading information.	Detective
Documented additional testing and resolution of significant inconsistencies before concluding.	Detective / Corrective
Supervisory review that challenges unsupported conclusions and unresolved contradictions.	Detective
Scenario-based training and coaching on professional skepticism.	Preventive

Audit Procedures

Procedure	Required evidence
Select significant conclusions and trace them to relevant, reliable, and sufficient supporting evidence.	Workpapers, source records, analysis
Identify significant management explanations and assess how they were corroborated.	Interview notes, supporting documents, confirmations
Review contradictory information and determine whether additional work resolved the differences.	Exception logs, follow-up requests, additional tests
Assess how the team responded to missing, inconsistent, or potentially misleading records.	Evidence requests, correspondence, revised testing
Review whether identified false or misleading information was appropriately evaluated and reported.	Findings, impact assessments, engagement communications

Procedure	Required evidence
Examine supervisory comments for meaningful challenge of evidence and judgments.	Review notes, responses, approvals
Assess practical training in questioning information and avoiding bias.	Training materials, attendance records, coaching notes

Red Flags

- Workpapers rely on “management confirmed” without supporting evidence.
- Different sources provide conflicting figures with no reconciliation.
- Missing records are treated as proof that no issue exists.
- Documents appear altered or inconsistent, but no further work is recorded.
- Explanations change repeatedly without additional validation.
- Only evidence supporting the initial conclusion is considered.
- Significant review questions remain unresolved at report issuance.

Common Findings — Illustrative Examples

- Significant conclusions relied on uncorroborated management statements.
- The reliability of information was not adequately assessed.
- Contradictory evidence was not investigated or resolved.
- Additional evidence was not obtained when information was incomplete.
- The response to potentially misleading information was not documented.
- Supervisory reviews did not sufficiently challenge unsupported judgments.
- Training did not include practical application of professional skepticism.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 4, Standard 4.3 — Professional Skepticism.

Platform note: Suggested controls and procedures should be adapted to the engagement. Red flags indicate matters requiring further examination and do not, by themselves, establish fraud or misconduct.